

pertinent periodicals and industry studies. We work to gain a knowledge edge—a level of understanding of a business or industry that may not be universal. Of course, some companies are followed so extensively that we can't differentiate ourselves in this fashion.

When analyzing businesses, sometimes financial statements tell the story; in those cases, we favor investments that typically appear “cheap” based on reported financial results. But in other situations, information not in the financial statements might be most relevant, such as data regarding a company's position on the industry cost curve, characteristics of its total addressable market, its customer acquisition costs and lifetime value, and real assets marked-to-market. In these situations, our holding might appear “expensive” based on reported financial results, but when you look deeper into these other factors, you can discern why we think such companies are undervalued.

Since we operate with imperfect knowledge, we prefer to establish a potential range of outcomes. We build financial models that look out a few years with low, base, and high cases. A good investment is one where an acceptable return can be had in the base case, and where the high case scenario should be more likely than that of the low case. As we seek to find a good business and understand it, one thing we pay close attention to is its free cash flow—rather than net income, a metric that does not, among other things, take into account capital spending and working capital.

In our view, all sensible fundamental investing is value investing, by which we mean buying a business or asset for less than what it is worth under reasonable scenarios. Buying growing businesses with an adequate margin of safety is just as much value investing as buying, for example, a financial firm at a discount to tangible book value or a holding company at a discount to readily ascertainable net asset value.

Conversely, while growth stock investing is often characterized by high valuations, that doesn't mean the prices are unwarranted. A